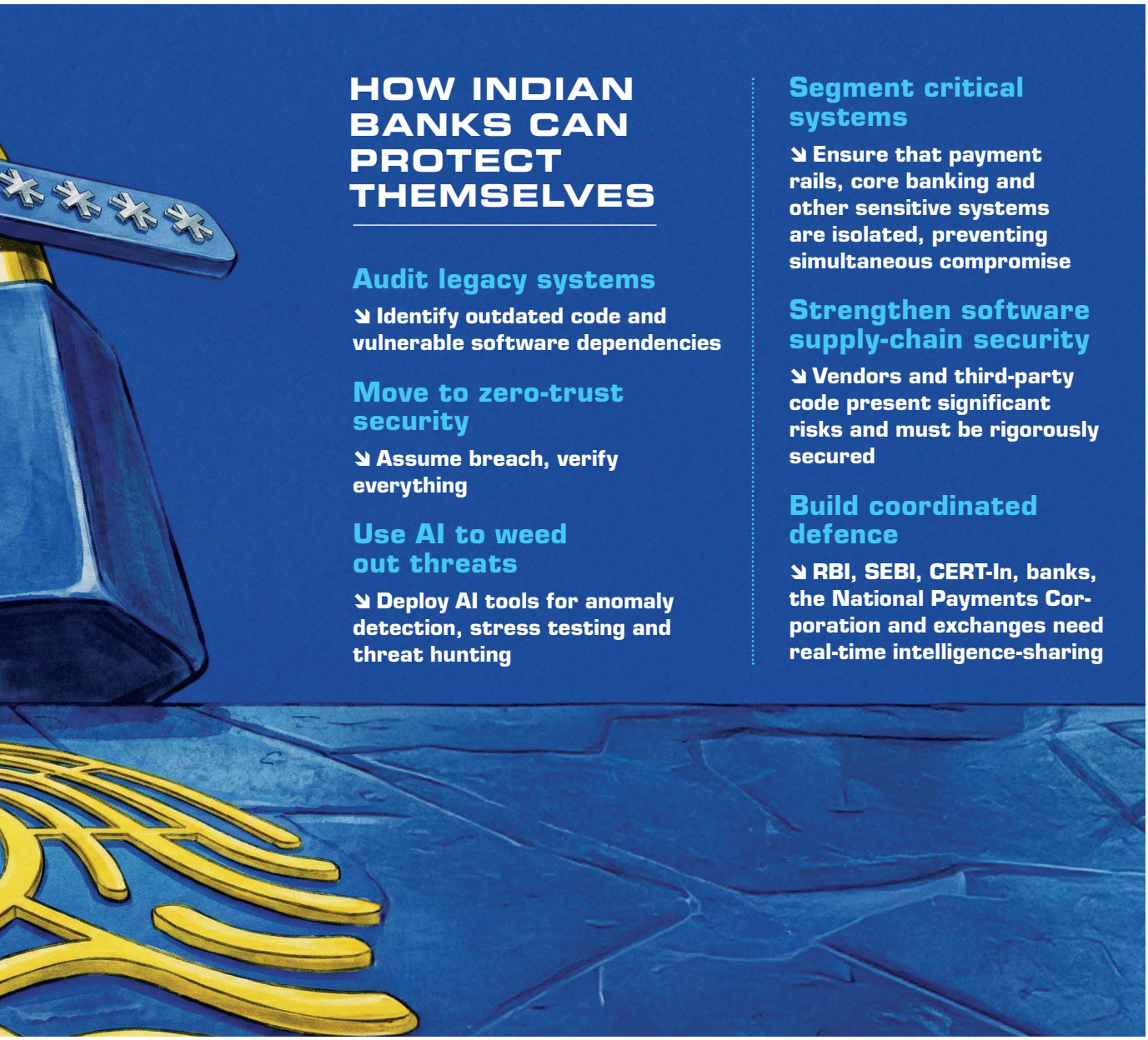


HOW INDIAN BANKS CAN PROTECT THEMSELVES

Audit legacy systems

↘ Identify outdated code and vulnerable software dependencies

Move to zero-trust security

↘ Assume breach, verify everything

Use AI to weed out threats

↘ Deploy AI tools for anomaly detection, stress testing and threat hunting

Segment critical systems

↘ Ensure that payment rails, core banking and other sensitive systems are isolated, preventing simultaneous compromise

Strengthen software supply-chain security

↘ Vendors and third-party code present significant risks and must be rigorously secured

Build coordinated defence

↘ RBI, SEBI, CERT-In, banks, the National Payments Corporation and exchanges need real-time intelligence-sharing

> **Since Mythos operates through a planner and executor loop, in case of insufficient guardrails, it could autonomously execute unintended actions at scale**
>
> **—RISHI VERMA,** *Head, AI Centre of Excellence, Financial Software and Systems (FSS)*

institutions, countries like India may have little choice but to rapidly build sovereign cyber defences of their own.

Unlike traditional cyber threats dependent on human expertise and long timelines, AI-driven vulnerability discovery could drastically reduce response windows for critical systems, from communications to radar. Consumer industries face risks from intellectual property theft. And capital markets may be especially vulnerable. India's recent clash with Jane Street Capital has shown how sophisticated algorithm-driven strategies can distort markets even without autonomous AI. The New York trading firm was temporarily barred from Indian markets over allegations of a "sinister scheme" to manipulate the Bank Nifty index,